

SEEING THE ANALYST

WHEN I RETURNED TO NEW YORK FROM WASHINGTON, THERE was a message on my answering machine from William Hayes, the man who'd taken me to lunch at the stock exchange. He'd invited me to a meeting of the Society of Security Analysts at 71 Broadway. It was this invitation that indirectly led me to my third investment.

Have you ever thought of calling your analyst? I mean the stock market kind, the one who writes the reports that your broker sends you, along with the little notes that read: "Our firm highly recommends this purchase, as noted in the enclosed." For some reason, I'd never thought an analyst was an actual person you could contact, until Mr. Hayes informed me of the fact.

I attended the meeting—actually a small gathering of one committee within the Society. Frankly, it was depressing. This was a sad group of white-collar professionals in their mid-to-upper forties, all out of work. They talked of being a forgotten minority, which you don't expect to hear from WASPS on Wall Street. They complained of having lost out to younger, more aggressive analysts that brokerage houses now prefer.

Listening to their stories, I found out several useful things: (1) there are 15,000 analysts at large in the country, mostly in New York; (2) analysts at brokerage houses are expected to serve us, the stock-buying public; (3) there are "fundamental analysts" and "technical analysts," who carry on the same debate I heard at the investment conference. There are also "quants," who speak a form of calculus, so nobody can understand a "quant" except another "quant"; (4) most analysts have M.B.A. degrees and are very well